

SENATE BILL 1173

By Akbari

AN ACT to amend Tennessee Code Annotated, Title 67,
Chapter 5, Part 7, relative to elderly, low-income
homeowners.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 67-5-702(a), is amended by deleting subdivision (3) and substituting instead the following:

(A) Reimbursement must be paid on the assessed value of the property and in accordance with subsection (b); provided, that reimbursement must not be paid if the assessed value of the property exceeds four hundred thousand dollars (\$400,000), or such other amount as set forth in the general appropriations act or as adjusted pursuant to subdivision (a)(3)(B), in the first year tax relief for the property is claimed by the taxpayer. If the assessed value of the property of a taxpayer who received tax relief pursuant to this section in the previous year exceeds the upper limit set or adjusted pursuant to this subdivision (a)(3) in the subsequent year, then reimbursement must be paid on the upper limit.

(B) Beginning for tax year 2027, and each subsequent tax year, the upper limit on the assessed value under subdivision (a)(3)(A) must be increased annually to reflect inflation, as measured by the United States bureau of labor statistics consumer price index for all urban consumers, and rounded to the nearest one hundred dollars (\$100). The comptroller of the treasury shall notify taxpayers of any change in dollar amounts made pursuant to this subdivision (a)(3)(B) and post the information in a readily identifiable location on the comptroller's website. The annual percentage changes used

in this calculation must be not less than zero percent (0%) and not more than three percent (3%).

SECTION 2. Tennessee Code Annotated, Section 67-5-702(b), is amended by deleting the subsection and substituting instead the following:

(1) In determining the amount of relief to a taxpayer:

(A) Reimbursement is based on the taxpayer's age and must be calculated as a percentage of the property tax owed and paid on the assessed value; and

(B) The assessed value must be multiplied by a tax rate that has been adjusted to reflect the relationship between appraised value and market value in that jurisdiction, as determined by the state board of equalization.

(2) The assessed value is determined by multiplying the full market value of the property by twenty-five percent (25%).

(3) The full market value of the property is determined by adjusting the appraised value of the property as shown on the records of the assessor of property by a factor that reflects the relationship between appraised value and market value in that jurisdiction, as determined by the state board of equalization.

(4) The amount of property tax relief available to a taxpayer is as follows:

(A) If the taxpayer is sixty-five (65) years of age, then the reimbursement is ten percent (10%) of the property tax paid;

(B) Each additional year of age results in an additional ten percent (10%) of property tax reimbursement; and

(C) If the taxpayer is seventy-four (74) years of age or older, then the reimbursement is one hundred percent (100%) of the property tax paid.

SECTION 3. This act takes effect July 1, 2025, the public welfare requiring it, and applies to tax years beginning on or after that date.